

Next, we move on to **Uncategorized Assets/Total Assets**. As seen, this number is negligible.

Other Current Assets also has Reverse Float-like Items and One-time Recoverables. We understood these in detail when we were analyzing operating working capital.

We also need to understand the return generated on Other Current Assets. It is not always that all items here generate a return but we need to understand the items that generate and the rate of return they generate.

Cash and Cash Equivalents

Welcome to the last item, which is Cash and Cash Equivalents.

Cash and Cash Equivalents						
Surplus Cash/ Total Assets	3.5%	2.1%	3.1%	3.2%	10.8%	5.1%
Surplus Cash/ Total Working capital	10.7%	4.7%	7.8%	8.3%	32.7%	41.9%
Purpose of Excess Cash. Understand the firm's cash management ideology						

The first item we need to check is Cash as a percentage of Total Assets. We must know how much cash is required for conducting the business and the surplus cash maintained for liquidity management. This can be known from the management, after which cash can be divided into Operating cash for business operations and Surplus Cash.

As discussed earlier too, for simplicity we will categorize entire cash and cash equivalents in one category and analyze the same. We will divide the same into operating and surplus if we have access to management and they can help segment the two.